

The Morning Briefing

COMPILED FOR MARCUS JOHNSON — AUGUST 26, 2026

Treasury Opens Economic Front Against Iran as SCOTUS Clears Trump's Mail-Ballot Order

Two fronts moved at once this week: Treasury Secretary Bessent unveiled sweeping new secondary sanctions targeting Iran's global trade partners, while the Supreme Court cleared the way — on procedural, not merits, grounds — for Trump's executive order restricting mail-in ballots ahead of the 2026 midterms.

US POLITICS

Treasury Opens "Operation Economic Outcast" on Iran

Treasury Secretary Scott Bessent unveiled sweeping new Iran sanctions on August 24, targeting oil revenue, digital assets, shipping, gold and aviation, and threatening secondary sanctions on China, India, Turkey, Iraq and the UAE if they keep buying Iranian oil.

ANALYTICAL READ

This shifts the Iran war's center of gravity from the Pentagon to Treasury, betting economic strangulation succeeds where five months of strikes produced a "no war, no deal" stalemate. The secondary-sanctions threat risks a diplomatic fight with major trading partners on top of the war itself.

NPR / Axios / Washington Post — npr.org/2026/08/24/g-s1-139743

Trump Sends Saudi Nuclear Deal to Congress, Ties It to Israel

Trump sent Congress the US-Saudi civil nuclear cooperation deal on August 25, saying it only takes effect if Saudi Arabia joins the Abraham Accords. Congress has 90 session days to act on the 30-year, Westinghouse-built reactor deal.

WHY IT MATTERS

Saudi Arabia has held firm that it wants an irreversible path to Palestinian statehood before normalizing — a precondition this Israeli government has shown no appetite to meet, setting up a standoff rather than a quick Accords expansion.

AI-Monitor — al-monitor.com/originals/2026/08

Congress Returns to a Stacked Appropriations Fight

Congress remains in recess; the House returns August 31, the Senate September 14. Only 2 of 12 House appropriations bills have passed, and none through the full Senate, ahead of the September 30 fiscal year-end.

WHY IT MATTERS

The December 11 continuing-resolution date the Senate passed still needs House sign-off, teeing up a fresh shutdown fight in the weeks before the midterms.

MOAA / FedTools — moaa.org/content/publications-and-media

SCOTUS & JUDICIARY

SCOTUS Clears Path for Trump's Mail-Ballot Order, 6-3

The Supreme Court lifted a Massachusetts judge's injunction against Trump's executive order restricting mail-in ballots, clearing enforcement in California and 22 other states (Trump v. California, 26A124, decided Aug. 24). The order seeks a federal voter-eligibility list and would direct USPS to deliver ballots only to listed voters.

ANALYTICAL READ

The majority did not reach the merits. Justice Sotomayor's dissent stresses the ruling "does not address" whether the President has any constitutional or statutory authority over election administration — power Article I, Section 4 assigns to the states and Congress — it only postpones that fight past the point of practical relevance for 2026.

SCOTUSblog / Washington Post — scotusblog.com/2026/08

Judge Talwani Forced to Lift Her Own Mail-Ballot Block

Following the SCOTUS order, Judge Talwani said on August 26 she was "compelled" to lift her related block on USPS mail-ballot rules. California has vowed to keep fighting in the lower courts.

WHY IT MATTERS

Shows how fast an emergency-docket ruling cascades into on-the-ground enforcement, well before any final judgment on the underlying constitutional question.

RedState — redstate.com/smoosieq/2026/08/26

ISRAEL & MIDDLE EAST

Gaza Strikes Destroy Aid Warehouse, Kill Seven

Israeli strikes over August 24-25 killed at least seven Palestinians in Gaza and destroyed a warehouse storing nutrition supplies for children and nursing mothers, alongside a hit on a water plant. Gaza's health ministry warns of "complete collapse" of basic necessities, nearly a year into a ceasefire declared last October.

ANALYTICAL READ

Israel continues to frame these strikes in security terms, but hitting food and water infrastructure sits uneasily against a standing ceasefire and undercuts the US-backed transitional governance plan for Gaza. Treat the security framing as a claim to weigh against the target list, not a given.

Al Jazeera — [aljazeera.com/news/2026/8/25](https://www.aljazeera.com/news/2026/8/25)

Israel Ejects Dutch Officials From Gaza Coordination Center

Foreign Minister Sa'ar expelled Dutch representatives from the US-backed Gaza coordination center, citing Amsterdam's ban on settlement-goods imports.

WHY IT MATTERS

Israel is using a body meant to be neutral, US-anchored governance infrastructure as leverage against a European government's settlement policy — a clear US-Israel interest divergence, since Washington needs the center seen as impartial.

Haaretz — [haaretz.com/israel-news/2026-08-26](https://www.haaretz.com/israel-news/2026-08-26)

NGO Alleges "Jewish Terrorist" Attack in West Bank

A left-wing NGO says its activists were attacked by "Jewish terrorists" in the West Bank on August 25.

WHY IT MATTERS

Fits a pattern of settler violence the security cabinet has been reluctant to prosecute aggressively — a recurring friction point with Washington and a liability inside Netanyahu's own coalition.

Times of Israel — [timesofisrael.com/liveblog-august-25-2026](https://www.timesofisrael.com/liveblog-august-25-2026)

Normalization Math: Israel Won't Move, Saudi Won't Either

On the Saudi deal (see US Politics): normalization with Israel is the price Trump has set, but Riyadh's own precondition — an irreversible path to Palestinian statehood — is one this Israeli government has not offered.

WHO BENEFITS

Netanyahu avoids a domestically costly concession while still getting credit for "progress"; Saudi Arabia keeps leverage without spending political capital on a deal its own public may not want.

Cross-reference — see US Politics section

WORLD

Rubio Signals No New Iran Strikes "For Now"

Secretary of State Rubio has told foreign counterparts the US is not planning new strikes on Iran "for the time being," leaning instead on Treasury's sanctions push, as Iran resumes talks with Oman over safe transit through the Strait of Hormuz.

WHY IT MATTERS

A tentative signal Washington sees economic pressure, not further strikes, as the next move — though Tehran has previously dismissed the idea that a pause reflects genuine restraint rather than munitions and political constraints.

CNN — [cnn.com/2026/08/25/world/live-news](https://www.cnn.com/2026/08/25/world/live-news)

Pentagon Gutted Its Civilian-Harm Program Over Commanders' Objections

Defense Secretary Hegseth dismantled most of the Pentagon's Civilian Harm Mitigation and Response program despite near-unanimous advice from senior regional commanders to preserve it. Reporting ties the cuts to hundreds of subsequent noncombatant deaths; Democratic lawmakers say the move may violate federal law.

WHY IT MATTERS

A structural policy change, not a single incident — it removes the institutional mechanism built after Iraq and Afghanistan to track and reduce civilian casualties, right as US and Israeli operations against Iran and in Gaza continue.

ProPublica / Defense One — propublica.org/article/hegseth

FINANCIALS

AAPL (Apple Inc.) — \$313.45, +1.15% today. *Upper half of 52-week range.* 52-wk range position: 74%. Analyst avg. target upside: +7.40%.

LMT (Lockheed Martin Corp) — \$512.77, -1.00% today. *Lower half of 52-week range.* 52-wk range position: 36%. Analyst avg. target upside: n/a.

BLK (BlackRock Inc) — \$995.60, -2.09% today. *Trading near 52-week lows; Street sees meaningful upside to target.* 52-wk range position: 26%. Analyst avg. target upside: +24.76%.

XOM (Exxon Mobil Corp) — \$158.19, -1.51% today. *Upper half of 52-week range.* 52-wk range position: 73%. Analyst avg. target upside: +5.49%.

BTC-USD (Bitcoin) — \$78,681, +0.17% today. *Consolidating.*

XAU (Gold (spot)) — \$4,611.42, -1.38% today. *Safe-haven bid fading.*

MARKET PREDICTIONS & MOVES

No dominant cross-asset signal today — moves look idiosyncratic, not macro-driven.

RESEARCH & LONG READS

CSIS: Is the Iran War Entering a Dangerous New Phase?

Argues the shift toward economic warfare and secondary sanctions carries its own escalation risk, since squeezed states and firms often respond asymmetrically rather than folding, and warns of strategic overextension absent a diplomatic off-ramp.

WHY IT'S HERE

Directly bears on today's Treasury sanctions story.

CSIS — [csis.org/analysis/iran-war-entering-dangerous-new-phase](https://www.csis.org/analysis/iran-war-entering-dangerous-new-phase)

Brennan Center: Analyzing the Mail-Voting Executive Order

A legal breakdown arguing the mail-ballot executive order is unlawful because the Constitution gives only states and Congress authority to set federal election rules, not the President.

WHY IT'S HERE

Grounds how far Monday's SCOTUS order actually reaches versus what it merely postpones.

Brennan Center for Justice — brennancenter.org/our-work/research-reports